**Michelle Morrison**
**Chief Financial Officer**

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# MEMORANDUM

**Date:** July 14, 2025
**To:** Board of Education
**From:** Michelle Morrison, Chief Financial Officer
**CC:** Superintendent Kimberlee Armstrong
**Subject**: Resolution to Authorize an Interfund Loan for Equipment Financing

## BACKGROUND

The Board approved the use of cooperative purchasing agreements for custodial equipment on June 10, 2025 through Resolution No. 7121. In lieu of a traditional five-year capital lease, finance staff recommend using a four-year, interest-free interfund loan from Fund 601 – Workers' Compensation Fund to Fund 100 – General Fund. This action will complete the purchase and provide an overall net savings to the district General Fund.

The General Fund is the primary source of funds for custodial equipment and staff is recommending that large-scale capital equipment purchases be budgeted and expended out of Fund 100 (General Fund) for reporting purposes. As only a single year of financing was appropriated in the 2025-26 General Fund Budget, the Fund 100 is currently unfunded for this specific expenditure. Staff proposes a temporary funding solution via an interfund loan from reserves in Fund 601 (Workers' Compensation Fund). Repayment would occur through payments from the General Fund over a 4-year period.

## RELATED POLICIES/BEST PRACTICES

ORS 294.468 allows for interfund loans between district funds when the borrowing fund has a reliable repayment source and the loan does not impair the operations of the lending fund. Repayment must occur within a reasonable period and be properly documented and tracked.

## ANALYSIS OF SITUATION

If the Board does not authorize the interfund loan, the District would secure external financing. Based on typical municipal capital lease rates (5% over 5 years), borrowing the full amount at the time of purchase of $1.65 million would result in more than $256,000 in interest costs.

By financing the purchase internally at 0% interest, the District avoids unnecessary expenses that would exceed interest earnings on the funds, and retains flexibility over repayment terms.

**FISCAL IMPACT**

This financing method avoids approximately $256,000 in potential interest expenses over the next four years and keeps all cash flow within the District's control. It is estimated that the interfund loan amount could have earned up to $229,000 assuming a 4% average interest earnings rate, resulting in an estimated net savings to the district of $27,000 for this project.

**COMMUNITY ENGAGEMENT (IF APPLICABLE)**

N/A

**TIMELINE FOR IMPLEMENTATION / EVALUATION**

Loan proceeds will be transferred immediately upon Board approval. Repayment progress will be monitored annually.

**BOARD OPTIONS WITH ANALYSIS**

Approve the resolution: Enables the District to utilize district insurance reserves for capital replacements, saving on financing expenses.

Do not approve: The District would pursue external financing options that would include interest expense, resulting in a higher total cost of ownership.

**STAFF RECOMMENDATION**

Staff recommend that the Board adopt the resolution authorizing a four-year, interest-free interfund loan of $1,321,349.90 from Fund 601 to Fund 100.

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*As a member of the PPS Leadership Team, I have reviewed this staff report.*

*MM (Initials)*

**ATTACHMENTS**

- Resolution